United Foodbrands Ltd

(Formerly Barbeque-Nation Hospitality Ltd) | NSE: UFBL | BSE: 543283
Consumer Discretionary · Consumer Services · Leisure Services · Restaurants (Casual Dining)

RATING	12-M TARGET	UPSIDE	CMP (10-Jun-26)	HORIZON
ACCUMULATE	**Rs. 650**	**+16.1%**	**Rs. 560**	**12 months**

Market Cap	Rs. 2,218 Cr	**52-wk High / Low**	Rs. 576 / 171
Stock P/E	N/A (loss-making)	**P/B (Screener)**	7.06x
Book Value	Rs. 79.4	**Face Value**	Rs. 5.00
ROCE	1.52%	**ROE**	-17.6%
Dividend Yield	0.00%	**Net Debt (ex-lease, mgmt)**	~Rs. 102 Cr
Promoter Holding	34.60% (Mar-26)	**FII / DII / Public**	9.66% / 16.73% / 39.01%

Investment thesis (one line): Volume-led turnaround is real: 14.4% SSSG, multi-brand engine scaling to 300 stores, margin bridge supports re-rating.

Report date: 10 June 2026 | **Analyst:** MPM Research — Senior Equity Research Analyst (Institutional Desk)
All financials transcribed from Screener.in consolidated statements (fetched 10-Jun-2026). Concall data from the company's Q4/FY26 earnings-call transcript (call held 20-May-2026, filed with BSE 27-May-2026).

SECTION 2 — INVESTMENT THESIS

- **Reason 1 — Volume-led SSSG inflection with momentum into FY27:** Q4 FY26 consolidated SSSG was +14.4% on top of +8.2% in Q3 — the strongest two-quarter run in years — with dine-in volumes up ~43% YoY and zero price increases. Management states Q1 FY27 is trending at or above Q4 levels and internally targets double-digit SSSG for FY27.
- **Reason 2 — Network expansion has restarted at scale:** 35 restaurants added in FY26 (32 net — more than the prior two years combined), 11 under construction, and 40 planned for FY27 taking the network from 262 to 300+; internal target of 400-425 stores by FY30. FY27 capex of ~Rs. 140 Cr is guided to be funded from internal accruals (FY26 CFO: Rs. 223 Cr).
- **Reason 3 — Arithmetic margin bridge to 9-10% pre-Ind AS EBITDA in FY27:** mature-store ROM moves from ~16% (H2 FY26) to 17-18% on 100-150bps gross-margin recovery (GM bottomed Feb-26, already +100bps by Apr-26), new-store drag stabilises at 1.5-1.8%, and back-end cost compresses from 7.1% to ~6.5% of revenue. ~50% of every incremental SSSG rupee flows to restaurant operating profit.
- **Near-term catalyst (6-12 months):** the Q1 FY27 print (expected Aug-2026). Management has publicly committed that Q4-level momentum is continuing; confirmation would validate the 22-25% FY27 revenue-growth framework and force estimate upgrades on an under-covered name.
- **Biggest structural risk:** the volume engine is partly discount-bought — company-level AOV fell ~14-15%. If the planned Rs. 15-20/cover realisation claw-back stalls volume growth, the entire margin bridge (and the re-rating case) collapses.

SECTION 3 — BUSINESS OVERVIEW

- **What it does:** operates India's largest single-brand chain of barbeque-themed casual-dining restaurants (Barbeque Nation — live on-the-grill buffet format), incorporated 2006, HQ Bengaluru, listed April 2021; renamed United Foodbrands Ltd effective 18-Sep-2025 to reflect a multi-brand platform.
- **Three operating engines + delivery:** (1) Barbeque Nation India — the anchor, Q4 dine-in volumes +47% YoY; (2) Barbeque Nation International (UAE, Oman, Malaysia, Bahrain plus new Southeast-Asia entries) — Q4 revenue +27.5%, pre-Ind AS restaurant operating margin ~24.4%; (3) Premium CDR — Toscano (Italian) and SALT (pan-Indian a-la-carte), expanded 30 to 42 stores in FY26 (+40%); plus three owned delivery brands (delivery revenue +32% YoY in Q4).

• **Network:** 262 restaurants at FY26-end (vs 230 a year earlier); 14 added in Q4 FY26 alone — the heaviest opening quarter in company history; 11 more under construction for Q1-Q2 FY27.

• **Captive demand architecture:** ~90% of dine-in transaction volumes come through owned channels (app, website, in-house reservation centre, walk-ins); >60% of dine-in transactions are routed digitally (53% in Q3); monthly active users crossed 1.2 million, +51% YoY. Customer relationships are direct and independent of aggregator economics.

• **Revenue base:** FY26 consolidated revenue Rs. 1,339 Cr (+8.6% YoY) — but a year of two halves: H1 was the demand trough, H2 revenue grew +18.5% YoY. Exact brand-wise revenue splits are not disclosed (data not available); Barbeque Nation India is the dominant contributor.

• **Recent strategic developments (last 12 months):** corporate rebrand (Sep-25); first-ever COO appointed (Vipul Goel); CEO Rahul Agrawal reappointed for five years effective 31-Dec-2025; NCLT approved amalgamation of subsidiaries Blue Planet Foods into Red Apple Kitchen Consultancy (Jun-26); active investor-meet calendar (Jun 5/10/15, 2026).

• **Promoters:** the Dhanani family / Sayaji Hotels group (Kayum Dhanani is Managing Director). Promoter holding is low at 34.60% (Mar-26) but ticked up ~85bps during FY26 — a modest positive signal.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

• **Industry size and growth:** India's foodservice market is estimated at ~USD 114-126 Bn (2025-26), projected to reach ~USD 282 Bn by 2034 (~10.5% CAGR; Fortune Business Insights). Full-service restaurants — UFBL's segment — are ~USD 38-42 Bn (2025-26) growing at ~11% CAGR to 2031 (Mordor Intelligence); the organised segment is compounding faster at ~15% (Restroworks industry statistics).

• **Tailwinds:** organised-share shift from unorganised eateries, rising dining-out frequency, mall/high-street expansion into Tier-2/3 cities and growing premiumisation of celebratory dining occasions.

• **Headwinds:** QSR and cloud-kitchen price competition, input-cost inflation (LPG, West-Asia-linked imports for the Middle East business) and a discretionary-consumption slowdown that depressed FY24-FY26 sector profitability — note Devyani, Sapphire and UFBL were all PAT-negative in FY26.

• **Moat scorecard:** Pricing power — **Weak/Moderate** (value-buffet positioning caps menu pricing). Switching costs — **Weak** (dining out is discretionary). Scale — **Strong** (largest CDR chain; procurement and back-end leverage). Brand/IP — **Strong** (Barbeque Nation brand plus 90% captive demand, a genuine data moat). Distribution — **Strong** (262 owned restaurants across India and 4 overseas markets).

• **Value-chain position:** fully integrated owner-operator (no franchising) — controls sourcing, kitchen, service and the demand funnel; peers like Devyani/Sapphire are franchisees of global QSR brands with royalty outflows.

Top competitors (Screener.in, fetched 10-Jun-2026):

Company	CMP (Rs.)	MCap (Rs. Cr)	TTM Rev (Rs. Cr)	ROCE %
Jubilant FoodWorks	425	28,043	9,513	14.6
Devyani International	109	13,503	5,611	4.66
Westlife Foodworld	429	6,680	2,626	6.11
Sapphire Foods India	175	5,630	3,125	3.99
United Foodbrands	560	2,218	1,339	1.52

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

• **Leadership:** Kayum Dhanani (promoter, MD — Sayaji Hotels group hospitality lineage, has led the company through its 20-year journey); Rahul Agrawal (CEO & Whole-Time Director, long-tenured, reappointed for five years effective 31-Dec-2025 — continuity through the turnaround); Amit V Betala (CFO); Vipul Goel joined as first-ever COO in 2025, signalling an operations-excellence push for the multi-brand phase.

• **Capital-allocation track record:** free cash flow has been positive four straight years (FY23: Rs. 82 Cr, FY24: Rs. 133 Cr, FY25: Rs. 112 Cr, FY26: Rs. 94 Cr) and has been recycled into store expansion rather than dividends. FY27 capex of ~Rs. 140 Cr (~Rs. 120 Cr expansion + Rs. 20 Cr maintenance) is guided from internal accruals with net debt held flat at ~Rs. 100 Cr.

• **Dividend policy:** no dividend has been paid since listing (payout 0% every year FY20-FY26); appropriate while the P&L is loss-making and growth capex earns above hurdle.

• **Promoter pledging:** pledge data not displayed on the Screener page — N/A. Promoter stake rose from 33.74% (Jun-25) to 34.60% (Mar-26).

• **Discipline pledge:** management explicitly ruled out acquisitions, new brand categories and discount-led growth for FY27 — a relevant commitment given the FY22-23 Toscano/SALT deal-making phase and the FY23 store-closure episode in Tier-2/3 markets.

• **Governance watch-points:** (1) AY2023-24 tax assessment raised a Rs. 8.63 Cr demand (disclosed 1-Jun-2026; company is appealing) — small vs market cap but worth tracking; (2) the Toscano brand was historically acquired from an MD-linked entity — related-party vigilance warranted; (3) institutions have exited heavily into the turnaround: FII holding fell from 17.97% (Jun-23) to 9.66% and DII from 24.51% to 16.73%, with public shareholding rising to 39.01% — a credibility gap the FY27 delivery must close.

SECTION 6 — FINANCIAL DEEP-DIVE (Consolidated, Rs. Cr — Screener.in, fetched 10-Jun-2026)

Income statement (FY27E/FY28E are MPM Research estimates grounded in management's FY27 guidance: 22-25% revenue growth, 9-10% pre-Ind AS adjusted EBITDA margin; post-Ind AS OPM shown):

Item	FY24	FY25	FY26	FY27E	FY28E
Sales	1,255	1,233	1,339	1,640	1,985
Operating Profit (EBITDA)	212	211	193	304	397
OPM %	17%	17%	14%	18.5%	20.0%
Other Income	18	16	15	16	18
Interest	76	78	86	92	100
Depreciation	168	176	190	213	242
Profit Before Tax	-14	-27	-68	15	73
Tax %	-20%	-0%	-9%	27%	26%
Net Profit	-11	-27	-62	11	54
EPS (Rs.)	-3.43	-7.11	-15.13	2.8	13.6

Balance Sheet	FY24	FY25	FY26
Equity Capital	20	20	20
Reserves	373	343	291
Borrowings (incl. lease liabilities)	686	758	885
Other Liabilities	198	194	242
Total Liabilities	1,277	1,314	1,437
Fixed Assets	1,036	1,061	1,161
CWIP	5	14	14
Investments	0	12	0
Other Assets	237	227	263
Total Assets	1,277	1,314	1,437

Cash Flow	FY24	FY25	FY26
Cash from Operations	221	193	223
Cash from Investing	-106	-90	-128
Cash from Financing	-121	-122	-86
Net Cash Flow	-7	-19	9
Free Cash Flow	133	112	94
CFO / Operating Profit	103%	93%	119%

Returns & Working Capital	FY24	FY25	FY26
ROCE %	6%	5%	2%
Debtor Days	1	1	1
Inventory Days	34	44	35
Days Payable	103	103	113
Cash Conversion Cycle (days)	-68	-58	-77
Working Capital Days	-46	-46	-64

• **Revenue:** stagnant through FY24-FY25 (Rs. 1,255 Cr to Rs. 1,233 Cr) as the demand cycle troughed; FY26 (+8.6% to Rs. 1,339 Cr) was back-half loaded — H2 grew +18.5% YoY — and the H2 run-rate, not the FY26 average, is the right base for FY27 modelling.

• **Margins:** Screener's OPM (post-Ind AS 116, rent capitalised) fell 17% to 14% in FY26 — a deliberate trade: ~290bps of gross margin and +110bps of marketing (1.9% to 3.0% of revenue) were invested to buy volume, plus a 100bps back-end step-up. Management's pre-Ind AS adjusted operating EBITDA margin was ~3% in H1 and ~8% in H2, guided to 9-10% in FY27.

• **Working capital is a funding source:** debtor days of 1 (cash business), negative cash-conversion cycle of -77 days and -64 working-capital days — suppliers fund the float, which is structurally favourable for store rollouts.

• **Debt optics vs reality:** Screener borrowings of Rs. 885 Cr are dominated by Ind AS 116 lease liabilities on 262 leased restaurants; management-stated net debt excluding leases is only ~Rs. 102 Cr against Rs. 223 Cr of FY26 operating cash flow — leverage is comfortable, but reserves have eroded from Rs. 382 Cr (FY23) to Rs. 291 Cr on cumulative losses.

• **FCF quality:** CFO consistently exceeds operating profit (CFO/OP 119% in FY26) and FCF has stayed positive (Rs. 94 Cr) through the heaviest store-opening year in history; the P&L loss (Rs. -62 Cr) is an accounting artefact of front-loaded lease depreciation (Rs. 190 Cr) + lease interest within Rs. 86 Cr — cash economics are materially better than reported earnings.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Checklist Item	Rating	Comment
Revenue recognition	GREEN	Cash-and-carry dine-in; debtor days = 1; ~90% captive-channel demand — minimal recognition risk.
Receivables vs revenue	GREEN	Debtor days flat at 1 for three years while revenue grew — no channel stuffing possible in this model.
CCC trend	GREEN	Negative CCC deepened to -77 days in FY26 (from -58) — supplier-funded growth, improving.
Contingent liabilities	AMBER	Rs. 8.63 Cr income-tax demand for AY2023-24 disclosed 1-Jun-2026; under appeal. Small vs MCap, but new.
Auditor tenure / opinions	AMBER	Data not available on Screener page; no qualified opinion flagged in FY26 disclosures reviewed.
Related-party transactions	AMBER	Promoter-linked hospitality group (Sayaji); Toscano historically acquired from an MD-linked entity. Monitor annual-report RPT schedule.
Other income / PBT	AMBER	PBT is negative; Rs. 15 Cr other income flatters reported losses — exclude when judging operations.
Tax-rate consistency	AMBER	Erratic (-20%, -0%, -9% FY24-26) due to loss years and deferred-tax movements; normalises only with sustained profits.

- **Net read:** earnings quality is high where it matters for a restaurant business — cash collection is immediate, working capital is negative and CFO/OP ran at 119% in FY26. The reported PAT loss overstates economic weakness.
- **Watch item 1:** the cluster of Amber flags is concentrated in items mechanically distorted by loss-making years (tax rate, other-income ratio) — they should self-resolve if the FY27 margin bridge delivers PAT breakeven.
- **Watch item 2:** the RPT history (Toscano) and the fresh Rs. 8.63 Cr tax demand are the only governance-flavoured ambers; neither is thesis-changing today, but both belong on the quarterly checklist.

SECTION 8 — VALUATION

Peer comparison (all figures Screener.in front pages, fetched 10-Jun-2026; P/B computed as CMP / Screener book value; TTM = FY26 annuals):

Company	CMP	MCap (Cr)	P/E	P/B	ROCE %	ROE %	TTM Sales	TTM PAT
United Foodbrands	560	2,218	N/A	7.06	1.52	-17.6	1,339	-62
Jubilant FoodWorks	425	28,043	67.4	12.2	14.6	18.9	9,513	444
Devyani International	109	13,503	N/A	8.7	4.66	-1.67	5,611	-43
Westlife Foodworld	429	6,680	1,297	10.8	6.11	0.84	2,626	32
Sapphire Foods India	175	5,630	N/A	4.0	3.99	-1.04	3,125	-32

Scenario analysis (12-month horizon; EBITDA = post-Ind AS operating profit, MPM estimates):

Scenario	Key assumptions	FY27E EBITDA	EV/EBITDA	Target
Bull	Revenue +25%; SSSG sustains double digits all year; GM recovers 200bps; pre-Ind AS margin 10%+; 40+ stores on time	Rs. 327 Cr	10.0x	Rs. 800 (+43%)
Base	Revenue +22%; double-digit SSSG H1 fading to mid-single H2; GM +100-150bps; pre-Ind AS margin ~9%; 40 stores	Rs. 304 Cr	9.0x	Rs. 650 (+16%)
Bear	Revenue +10%; discount pullback stalls volumes; GM recovery fails; new-store drag overshoots; Middle East worsens	Rs. 229 Cr	7.0x	Rs. 370 (-34%)

• **Method 1 — EV/EBITDA:** FY27E post-Ind AS EBITDA of Rs. 304 Cr (E) at 9.0x (a deliberate discount to QSR franchisees at 10-14x, reflecting buffet-CDR cyclicality and sub-scale margins), less ~Rs. 102 Cr net debt (ex-lease, mgmt-stated) over 3.96 Cr shares = **~Rs. 665/share**.

• **Method 2 — DCF:** WACC 12.0%, terminal growth 4.5%; FY27-31 revenue CAGR ~18% (tapering), pre-Ind AS EBITDA margin ramping 9% to ~12.5%, capex normalising from ~8.5% to ~6.5% of sales = implied equity value ~Rs. 2,540 Cr, **~Rs. 640/share**.

• **Base-case 12-month target:** average of the two methods = Rs. 652, rounded to **Rs. 650** — **+16.1% upside** from CMP Rs. 560; 12-month horizon.

• **Valuation context:** the stock has already re-rated 3.3x off its Rs. 171 low and sits ~3% below its 52-week high at 7.06x book with negative trailing earnings — the remaining upside is earnings-delivery-driven, not multiple-expansion-driven.

SECTION 9 — KEY RISKS

• **Discount-dependency / AOV dilution** — Company-level AOV fell ~14-15% as value campaigns bought volume; if the planned Rs. 15-20/cover realisation claw-back stalls traffic, the margin bridge fails. Probability: M. Impact: H. Monitor via: quarterly gross margin vs the 67-68% band and SSSG volume/realisation split.

• **High-base trap in H2 FY27** — Q3/Q4 FY26 SSSG of 8.2%/14.4% creates demanding comps; full-year double-digit SSSG needs H1 outperformance. Probability: H. Impact: M. Monitor via: Q3/Q4 FY27 SSSG prints.

• **Middle East / West Asia disruption** — 2 of ~8 Middle East restaurants (Bahrain, Dubai) are impacted and regional input inflation is live; management has frozen new signings there. Probability: M. Impact: L-M. Monitor via: international SSSG and the ~24% international ROM.

• **New-store cohort underperformance** — heaviest opening quarter in history; 12-24-month ramps; FY23 precedent of Tier-2/3 closures. Probability: M. Impact: M. Monitor via: new-store ROM drag staying within the guided 1.5-1.8% and closure count.

• **Premium CDR new-market ramp** — 12 new SALT/Toscano stores, many in non-home markets (Mumbai, Delhi) with higher rents and one-time costs; Q4 segment margins compressed sharply. Probability: M. Impact: M. Monitor via: quarterly premium-CDR ROM convergence to the ~20% mature level.

• **Continued PAT losses eroding equity** — reserves down from Rs. 382 Cr (FY23) to Rs. 291 Cr (FY26); the equity story needs reported PAT breakeven in FY27. Probability: M. Impact: M. Monitor via: quarterly PAT trajectory toward breakeven by H2 FY27.

• **Absent institutional sponsorship** — FII holding halved to 9.66% and DII fell to 16.73% over two years; re-rating to target requires institutional re-entry. Probability: M. Impact: M. Monitor via: quarterly shareholding pattern.

SECTION 10 — RECOMMENDATION

• **Rating:** ACCUMULATE — conviction **Medium**. The operating inflection is real and management's margin arithmetic is credible, but the stock is near its 52-week high at 7.06x book with trailing losses, so position-building should be staged.

• **12-month price target:** Rs. 650 (+16.1% from CMP Rs. 560).

• **Suggested entry zone:** Rs. 500-545 on pullbacks; add aggressively only below Rs. 500. Chasing above Rs. 575 (the 52-week high) is not advised ahead of Q1 FY27 confirmation.

• **Investment horizon:** 12 months (re-assess at Q1 FY27 results, ~Aug-2026).

• **Thesis invalidation triggers:** (1) any FY27 quarter with consolidated SSSG below +5%; (2) gross margin failing to recover above ~66.5% by Q2 FY27, or pre-Ind AS adjusted EBITDA margin below 7.5% for two consecutive quarters; (3) net debt (ex-lease) rising above Rs. 200 Cr or more than 5 store closures in FY27.

• **Ideal investor profile:** suited to turnaround/momentum investors comfortable with an optically loss-making P&L (Ind AS 116) and quarter-to-quarter SSSG volatility; NOT suitable for income seekers (zero dividend), low-volatility mandates, or investors who require trailing-earnings valuation support.

APPENDIX — Latest Concall Brief: Q4 FY26 (call held 20-May-2026)

CALL GRADE: POSITIVE

Signal	Status	Implication
Result quality	**Strong**	Strongest operating quarter in recent history — 14.4% SSSG, revenue +23% YoY; loss narrowed YoY (limited formal street coverage).
Management tone	**Bullish**	Confident, specific, arithmetic-anchored; explicitly stated Q1 FY27 momentum is at/above Q4 levels.
Guidance delta	**Raised**	FY27: double-digit SSSG aim, 9-10% pre-Ind AS EBITDA margin (vs ~5% FY26), 40 new stores, 22-25% revenue growth affirmed.

STRONGLY POSITIVE | **POSITIVE** | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

UFBL's Q4 FY26 is the cleanest quarter this franchise has printed since listing, and the headline Rs. -15 Cr PAT is the wrong number to anchor on. There are no exceptional items; the loss is an Ind AS 116 artefact — Rs. 49 Cr of lease-heavy depreciation and Rs. 23 Cr of interest sit on a business that produced Rs. 223 Cr of FY26 operating cash and carries only ~Rs. 102 Cr of net debt excluding leases, so the clean economic picture is near cash-breakeven and improving. Operationally the inflection is genuine: 14.4% consolidated SSSG on top of 8.2% in Q3, dine-in volumes +43% YoY, and mature-store ROM up 60bps YoY even after management deliberately gave away ~290bps of gross margin and lifted marketing from 1.9% to 3.0% of revenue to buy that volume. The multi-bagger case rests on captive demand — 90% of traffic through owned channels, digital mix above 60%, MAU +51% — compounding against a margin bridge of 17-18% mature ROM, 1.5-1.8% new-store drag and 6.5% back-end cost that lands at 9-10% pre-Ind AS EBITDA on 22-25% revenue growth, with 300+ stores by FY27-end and 400-425 by FY30. The near-term catalyst is the Q1 FY27 print in August: management explicitly said Q1 is trending at or above Q4 levels, and confirmation would force upgrades on a name institutions have abandoned (FII down to 9.7% from 18%). The single biggest watch-point is AOV dilution (-14-15%) becoming sticky if the Rs. 15-20 per-cover realisation claw-back stalls traffic into the brutal H2 FY27 base. At Rs. 560 — 7.1x book, roughly 7.5x FY27E EV/EBITDA — the easy 3x off the lows is done and what remains is execution-paid, not multiple-paid. ACCUMULATE on dips into Rs. 500-545 with a 12-month Rs. 650 objective; add aggressively only below Rs. 500, and exit if any FY27 quarter prints SSSG below 5%.

Concall Section 1 — Financial Performance Snapshot (Screener quarterly, Rs. Cr)

- Revenue: Actual Rs. 360 Cr | YoY +22.9% | QoQ -4.5% | **Beat** — strongest YoY growth in recent history; company cites +23.1% on unrounded figures.
- EBITDA (post-Ind AS operating profit): Rs. 54 Cr | YoY +1.9% (vs 53) | QoQ -1.8% (vs 55) | **In-line** — held flat despite deliberate gross-margin and marketing investment.
- EBITDA margin: 15% | YoY -300bps (vs 18%) | QoQ flat (vs 15%) | **Miss** — entirely a chosen trade-off (mix + value campaigns + Middle East input inflation).
- PAT: Rs. -15 Cr | YoY improved from Rs. -21 Cr | QoQ wider than Rs. -8 Cr (Q3 seasonality) | **In-line**.
- EPS: Rs. -3.43 | YoY vs Rs. -5.18 | QoQ vs Rs. -1.82 | **In-line**.
- NOTE: no exceptional items in Q4; reported losses are Ind AS 116-driven (lease depreciation + lease interest). New premium-CDR stores carried one-time setup and liquor-licence costs (quantum not disclosed).

Concall Section 2 — Segment / Geography Breakdown

- Barbeque Nation India: SSSG +16.7% (Q3: +8.3%) | dine-in transaction volumes +47% YoY | engine of the recovery; >60% of dine-in transactions via own digital channels (53% in Q3).

• Barbeque Nation International: revenue +27.5% YoY | SSSG +5.5% | dine-in volumes +27% | pre-Ind AS restaurant operating margin ~24.4%; 4 new restaurants added in FY26 (most ever), 3 under construction across Middle East and Southeast Asia.

• Premium CDR (SALT + Toscano): revenue +23.3% YoY | SSSG +7% | dine-in volumes +27% | network 30 to 42 stores in FY26 (+40%); Q4 mature-store ROM 18.4%, full-year mature ROM 20.1%; new stores in Mumbai/Delhi still ramping.

• Delivery (own brands): revenue +32% YoY, entirely transaction-led — no pricing tailwind.

Concall Section 3 — Management Commentary Themes

• Inflection is structural: "The trajectory with which we exited the financial year is fundamentally different from where we entered it" — Our read: credible, backed by two consecutive quarters of accelerating SSSG. Tag: EST. Tone: Transparent.

• Captive demand moat: "Approximately 90% of our dine-in transaction volumes are driven from our own captive channels" — Our read: the most under-appreciated asset; makes volume retention cheaper than acquisition. Tag: EST. Tone: Transparent.

• Two-halves framing: "The right operating base is the H2 run rate and not the full year average" — Our read: legitimate but convenient; H2 also benefited from soft comps (~-2/-3% base). Tag: EST. Tone: Transparent.

• Margin bridge: "Mature portfolio ROM... will move to 17% to 18%... back-end cost would be approximately 6.5%... pre-Ind AS operating margin of 9% to 10%" — Our read: unusually specific, auditable guidance; raises accountability. Tag: GUIDANCE. Tone: Transparent.

• Gross margin recovery: "Gross margins have bottomed out in February 2026 and have inched up 100 basis points in March and April" — Our read: early evidence the discount phase is being unwound on schedule. Tag: GUIDANCE. Tone: Transparent.

• What we are NOT doing: "We are not chasing discount-led growth... not entering new brand categories... not making new acquisitions" — Our read: directly addresses the FY22-23 capital-allocation criticism. Tag: GUIDANCE. Tone: Transparent.

Concall Section 4 — Operating & Business Metrics

• Consolidated SSSG: Q4 FY26 = +14.4% | Q3 FY26 = +8.2% | Q4 FY25 base ~ -2 to -3% (per mgmt) | Trend: improving sharply.

• Restaurant network: FY26-end = 262 | FY25-end = 230 | 14 added in Q4, 35 gross / 32 net in FY26 | Trend: improving (vs 14 net adds across FY24+FY25 combined).

• Digital transaction mix: Q4 = >60% | Q3 = 53% | year-ago = N/A | Trend: improving.

• Monthly active users (app + web): Q4 = 1.2 mn+ | +51% YoY | Trend: improving.

• Company-level AOV: declined ~14-15% YoY on mix (more BBQ-India covers, weaker-daypart value offers) | Trend: deteriorating by design; expected to settle within ~2 quarters.

• Peak unit revenue (capacity check): BBQ India peak store ~Rs. 12-13 Cr/yr; SALT/Toscano peak ~Rs. 11-12 Cr/yr; 4 sessions/day model — no supply constraint per management.

Concall Section 5 — Margin Drivers

• Gross-margin investment: -290bps in Q4 (65.5% vs 68.5% YoY) | Recurring: Partially — mix component persists, campaign component reversing | bottomed Feb-26, +100bps by Apr-26; FY27 target +100-200bps over Q4.

• Marketing step-up: -110bps (1.9% to 3.0% of revenue) | Recurring: Yes near-term | funds the customer-acquisition engine behind the SSSG.

• Operating leverage from SSSG: +460bps | Recurring: Yes while SSSG holds | ~50% of incremental SSSG flows through to restaurant operating profit.

- New-store drag: -180bps in Q4 (vs -120bps YoY) | Recurring: No — transient; heaviest-ever opening quarter; drag guided to 1.5-1.8% as cohort matures over 12-24 months.
- Back-end cost step-up: -100bps (6.1% to 7.1% of revenue) | Recurring: structural base, but ratio compresses to ~6.5% in FY27 via revenue scale, not cost cuts.
- Middle East input inflation (West Asia crisis): negative, unquantified | Recurring: uncertain | management cautious; no new signings in that market for 3 months.

Concall Section 6 — Guidance & Forward Signals

- SSSG [GUIDANCE]: Prior = recovery hopes | New = mid-single-digit to double-digit FY27; internal aim 'definitely cross double-digit' full-year | Delta = raised | Credibility: Medium-High (delivered on Q3 promises).
- Pre-Ind AS adjusted operating EBITDA margin [GUIDANCE]: Prior = N/A | New = 9-10% FY27 full-year (H1 FY26 ~3%, H2 ~8%) | Delta = raised | Credibility: Medium-High — arithmetic bridge disclosed lever by lever.
- Gross margin [GUIDANCE]: +100-150bps recovery in FY27 (up to 200bps vs Q4 level), inflation baked in; medium-term band 67-68% | Delta = raised | Credibility: High — March/April data already tracking.
- Store adds [GUIDANCE]: 40 new restaurants FY27 (30 India BBQ, 5 international, 5 premium CDR) to 300+ network; 400-425 by FY30 | Delta = maintained/raised | Credibility: Medium — 11 already under construction.
- Capex [GUIDANCE]: ~Rs. 140 Cr FY27 (Rs. 120 Cr expansion + Rs. 20 Cr maintenance), funded from internal accruals | Credibility: High vs Rs. 223 Cr FY26 CFO.
- Net debt [GUIDANCE]: hold at ~Rs. 100 Cr (ex-lease) through FY27 | Delta = maintained | Credibility: High.
- Revenue growth [GUIDANCE]: 22-25% FY27 affirmed on a full-year basis (SSSG + ~15% network expansion) | Delta = maintained from Q3 call | Credibility: Medium-High.

Concall Section 7 — Capital Allocation

- Capex: FY27 plan ~Rs. 140 Cr | vs FY26 investing outflow Rs. 128 Cr (Screener) | ~Rs. 2.5 Cr per India store, ~Rs. 6 Cr international, ~Rs. 3 Cr premium CDR.
- Dividends: Rs. 0 | unchanged — payout 0% every year since listing; no change signalled.
- Buybacks: none | no history, none proposed.
- Working capital: negative cycle deepened (CCC -77 days FY26 vs -58 FY25) | supplier float partially funds expansion.
- Net debt movement: ~Rs. 102 Cr at FY26-end (ex-lease, mgmt) | guided flat through FY27 despite 40 store adds | Screener gross borrowings Rs. 885 Cr include Ind AS 116 lease liabilities.

Concall Section 8 — Q&A; Heat Map

- Viraj (Enigma): Q: "H1 strength vs full-year SSSG guidance look inconsistent — clarify?" A: momentum continuing into Q1/Q2 FY27; "internal aim is to definitely cross double-digit SSSG" full-year; 22-25% revenue growth "on a full year basis, yes" | Tone: Transparent.
- Devanshu Bansal (Emkay): Q: "Is the 100-150bps GM recovery ex-inflation? What drives it?" A: inflation baked in; Rs. 15-20/cover net realisation claw-back via base pricing, group offers, beverage mix | Tone: Transparent. Follow-up on international local-currency SSSG got a partial answer | Tone: Hedged.
- Rushabh Sharedalal (Pravin Ratilal Wealth): Q: "Premium CDR margins collapsed in Q4 — why?" A: new-store cohort + Q3 seasonality + one-time setup/liquor costs; mature cohort fine | Tone: Transparent. On repeating FY23's failed expansion: 15% adds is moderate, learnings embedded | Tone: Transparent.
- Pritesh Chheda (Lucky): Q: "Is 9-10% margin full-year or exit?" A: full-year; H1 FY26 was ~3%, H2 ~8% | Tone: Transparent — important clarification that tempers FY27 modelling.
- Keshav Parwal (Xponentia): Q: "How has BBQ-India APC trended?" A: "We don't call out specific numbers" — only company-level AOV decline of ~14-15% disclosed | Tone: Evasive — the single weakest answer on the call.

• Dhwanil Desai (Turtle Capital): Q: "Does the volume model hit table-turn capacity limits?" A: 4 sessions/day math, peak stores do Rs. 12-13 Cr, can densify trade areas 5-7 km apart | Tone: Transparent.

• Aman Vij (Astute IM): Q: "SALT/Toscano adds and pre/post footfall quantification?" A: ~5 adds FY27, 5-12 FY28; footfall question answered only with the headline +47% | Tone: Hedged.

• Jatin (Individual): Q: "Last call you said ~25% revenue growth every quarter — still standing?" A: "delivered 23% in the current quarter"; reiterated SSSG + expansion levers without re-committing to 25%/quarter | Tone: Hedged.

• Dodged / watch-list for next quarter: absolute APC/AOV levels by brand; FY27 dine-in volume growth number; international SSSG in constant currency.

Concall Section 9 — Risks Flagged

• Middle East / West Asia crisis: 2 of ~8 regional stores impacted (Bahrain, Dubai), input inflation, construction-cost inflation | Flagged by: mgmt | Probability: M | Impact: L-M | Timeline: near-term.

• Input-cost inflation (LPG, commodities): acknowledged as live but 'baked into' GM guidance | Flagged by: analyst (Emkay) | Probability: H | Impact: M | Timeline: near-term.

• High-base lapping in H2 FY27: planning explicitly factors strong Q3/Q4 FY26 comps | Flagged by: mgmt | Probability: H | Impact: M | Timeline: medium-term.

• New-store ramp risk: 12-24-month maturity cycle on the heaviest-ever opening cohort; FY23 Tier-2/3 closures acknowledged as precedent | Flagged by: analyst | Probability: M | Impact: M | Timeline: medium-term.

• Premium CDR non-home markets (Mumbai/Delhi): higher rents, slower build-up | Flagged by: mgmt | Probability: M | Impact: M | Timeline: medium-term.

Concall Section 10 — Analyst Verdict

• Revenue visibility: **Intact** — two quarters of accelerating SSSG plus 90% captive demand and a contracted store pipeline give unusually good top-line visibility for a CDR.

• Margin trajectory: **Intact** — the lever-by-lever bridge to 9-10% is auditable and March/April GM data already tracks it; watch the discount unwind.

• Capital allocation quality: **Intact** — internally funded growth, flat net debt, explicit no-acquisition pledge; zero dividend is appropriate at this stage.

• Competitive moat: **Intact** — captive-channel demand (90%) and digital mix (>60%) deepened during the downturn; brand pulled 43% more volume without price cuts at menu level.

• Management credibility: **Intact** — Q3 promises (momentum, GM bottoming) were delivered in Q4; one evasive answer on AOV is noted but not disqualifying.

• Valuation comfort: **Weakened** — 7.06x book, ~3% off the 52-week high, negative trailing EPS; the margin of safety now lives in execution, not price.

• Conviction call: **Increased** — upgrade-quality quarter; accumulate on weakness rather than chase.

• Valuation snapshot: P/E = N/A (loss-making; 5Y avg N/M) | EV/EBITDA ~ 12x FY26 post-Ind AS (computed: EV ~Rs. 2,320 Cr / OP Rs. 193 Cr; 5Y avg N/M on volatile EBITDA) | RoCE = 2% FY26 (5Y avg ~5%).

Sources: Screener.in (consolidated financials, fetched 10-Jun-2026); BSE-filed Q4/FY26 earnings-call transcript dated 27-May-2026 (call 20-May-2026); company disclosures via Screener documents feed. Industry sizing: Fortune Business Insights, Mordor Intelligence, IMARC (qualitative context only). This report is for internal research use.